

Tencent (0700)

First Take: 1Q26 - two P&Ls under one ticker

We turn more positive on Tencent after 1Q26. The more analytically significant development from this print is structural rather than directional: management has formalized disclosure of the two P&Ls: non-IFRS operating profit ex-new AI products of Rmb84.4bn (+17% YoY), sitting alongside reported non-IFRS OP of Rmb75.6bn (+9% YoY). In doing so management has converted the dominant bear argument on AI dilution from a narrative concern into a sized and auditable P&L line. We see two read-throughs: first, organic operations are fundamentally healthier than the headline 1% consensus revenue miss and 9% YoY non-IFRS OP growth suggest; second, the AI investment envelope is paced and self-funded: the implied AI drag of ~Rmb8.8bn this quarter annualizes cleanly to the ~Rmb36bn FY26 framework management had previously disclosed, while free cash flow of Rmb57bn comfortably covered Rmb37bn of CapEx and Rmb7.9bn of buyback with net cash building sequentially to Rmb147bn. Against a consensus modeling 5-8% FY26 EPS growth, we believe the disclosed ex-AI run rate is the variable worth focusing on.

Key positives

- **Core profit momentum was stronger than headline numbers after stripping out new AI products.** Tencent's reported non-IFRS operating profit grew 9% YoY, but excluding new AI products, operating profit grew 17% YoY.
- **Ads acceleration is an evidence of AI monetization.** Marketing services revenue grew 20% YoY in 1Q26, accelerating from 17% YoY in 4Q25, helped by upgrades to AI-driven ad recommendation models and expanded closed-loop marketing within the Weixin ecosystem.
- **Strong VAS gross margin despite softer reported game revenue growth,** with 1Q26 gross margin reported at 62.6%, +3.0pp QoQ.

Key Negatives/Question Marks

- **Reported 1Q26 domestic game revenue growth looked modest at +6% YoY, but this was mostly due to the timing of Spring Festival –** domestic games gross receipts still grew at a teens percentage rate YoY.

Likely Changes to Consensus

We expect the print will have limited impact on consensus estimates.

Overweight

0700.HK, 700 HK

Price: HK\$462.60

13 May 2026

Price Target: HK\$690.00

PT End Date: 31 Dec 2026

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Table 1: Tencent 1Q26 result review

YE 31 Dec	1Q26			1Q25	4Q25	1Q26	1Q26	YoY	QoQ	Delta
	Actual	Consensus	% delta	Actual	Actual	JPMe	Actual	%	%	%
RMBm										
VAS	96,110	100,374	-4%	92,133	89,920	101,683	96,110	4%	7%	-5%
SNS	31,910	33,480	-5%	32,633	30,620	33,958	31,910	-2%	4%	-6%
Online games	64,200	66,899	-4%	59,500	59,300	67,725	64,200	8%	8%	-5%
Domestic games	45,400	47,218	-4%	42,900	38,100	46,101	45,400	6%	19%	-2%
International games	18,800	19,478	-3%	16,600	21,200	21,624	18,800	13%	-11%	-13%
Advertising	38,171	37,693	1%	31,853	41,116	37,621	38,171	20%	-7%	1%
Fintech and business services	59,885	60,068	0%	54,907	60,818	63,150	59,885	9%	-2%	-5%
Others	2,292	1,256	82%	1,129	2,517	2,593	2,292	103%	-9%	-12%
Revenue	196,458	199,391	-1%	180,022	194,371	205,046	196,458	9%	1%	-4%
Gross profit	111,265	112,712	-1%	100,493	108,289	113,791	111,265	11%	3%	-2%
Operating profit	67,375	65,655	3%	57,566	60,338	64,337	67,375	17%	12%	5%
Operating profit, adjusted	75,627			69,320	69,518	75,004	75,627	9%	10%	2%
PBT	73,969			63,442	71,684	69,358	73,969	17%	3%	7%
Net income	58,093	57,757	1%	47,821	58,260	56,342	58,093	21%	0%	3%
Net income, non-IFRS	67,905	67,806	0%	61,329	64,694	70,010	67,905	11%	5%	-3%
EPS (RMB)	6.30	6.40	-2%	5.13	6.28	6.10	6.30	23%	0%	3%
EPS, Non IFRS (RMB)	7.36	7.43	-1%	6.58	6.97	7.58	7.36	12%	6%	-3%
Margin analysis (%)										
Gross margin	56.6%	56.5%	0.1%	55.8%	55.7%	55.5%	56.6%	0.8%	0.8%	1.1%
Operating margin	34.3%	32.9%	1.4%	32.0%	31.0%	31.4%	34.3%	2.3%	3.3%	2.9%
Operating margin, adjusted	38.8%			38.5%	35.8%	36.6%	38.8%	0.3%	3.0%	2.2%
Net margin	29.6%	29.0%	0.6%	26.6%	30.0%	27.5%	29.6%	3.0%	-0.4%	2.1%
Net margin, non-IFRS	34.6%	34.0%	0.6%	34.1%	33.3%	34.1%	34.6%	0.5%	1.3%	0.4%

Source: Tencent earnings report releases for 1Q25, 4Q25 and 1Q26, J.P. Morgan estimates, Bloomberg Finance L.P. (as of 13 May 2026).

Investment Thesis

We view Tencent as a “fundamentals-plus-optionality” story into 2026: core engines (Weixin ecosystem, ads, and gaming) remain resilient, and we expect the AI narrative to matter more than incremental earnings revisions for share price direction. Tencent has historically taken a measured, integration-first approach to new platform shifts, and we see its GenAI rollout as earlier-stage versus some peers in terms of visible model showcases and standalone app momentum because management appears to prioritize reliability, compliance, and ecosystem fit before scaling. That positioning leaves the stock less “AI-priced” in our view, which creates upside optionality if Tencent demonstrates clear execution and product-market fit in 2026.

Valuation

Our Dec-26 PT of HK\$690 is based on 21x 2026E P/E, at the top end of tier-1 Internet stocks’ current consensus valuation range, given Tencent’s solid operations and the fact that we think it is well positioned to benefit from GenAI.

Risks to Rating and Price Target

Downside risks to our rating and PT include:

- Further regulatory tightening for games
- A continued slowdown in the macro economy
- Inability to launch successful mobile game titles continuously
- A slower-than-expected ramp-up of mobile ad revenue
- Video content spend, or
- Higher-than-expected investments in new initiatives (e.g., Cloud and Internet finance) due to intensified competition, leading to margin pressure.

Upside risks include:

- Tencent to launch and monetize its new game titles in China

- A better macro environment to support ads growth, or
- Policy support in cloud, business service, etc.

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Tencent (0700) (0700.HK, 700 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
18-May-23	OW	342.80	440
21-Mar-24	OW	288.80	410
15-May-24	OW	381.80	480
13-Oct-24	OW	438.80	520
20-Mar-25	OW	540.00	600
15-May-25	OW	521.00	630
16-Jul-25	OW	517.50	600
14-Aug-25	OW	586.00	685
14-Nov-25	OW	656.00	750
19-Mar-26	OW	550.50	690

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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